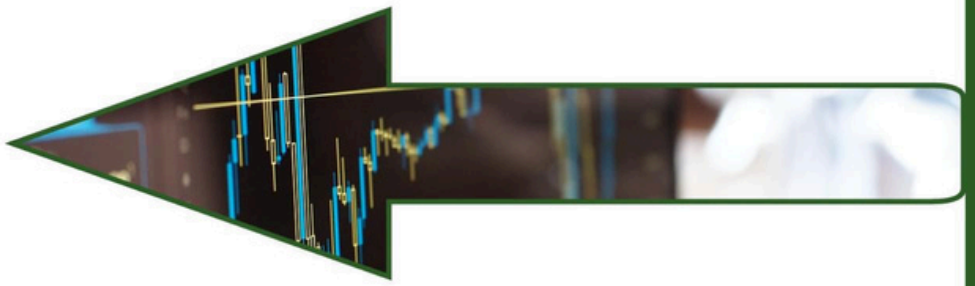
ALIGVERSE NIVESH

Designing Investor-Centric Risk-Profiled Stock Indices



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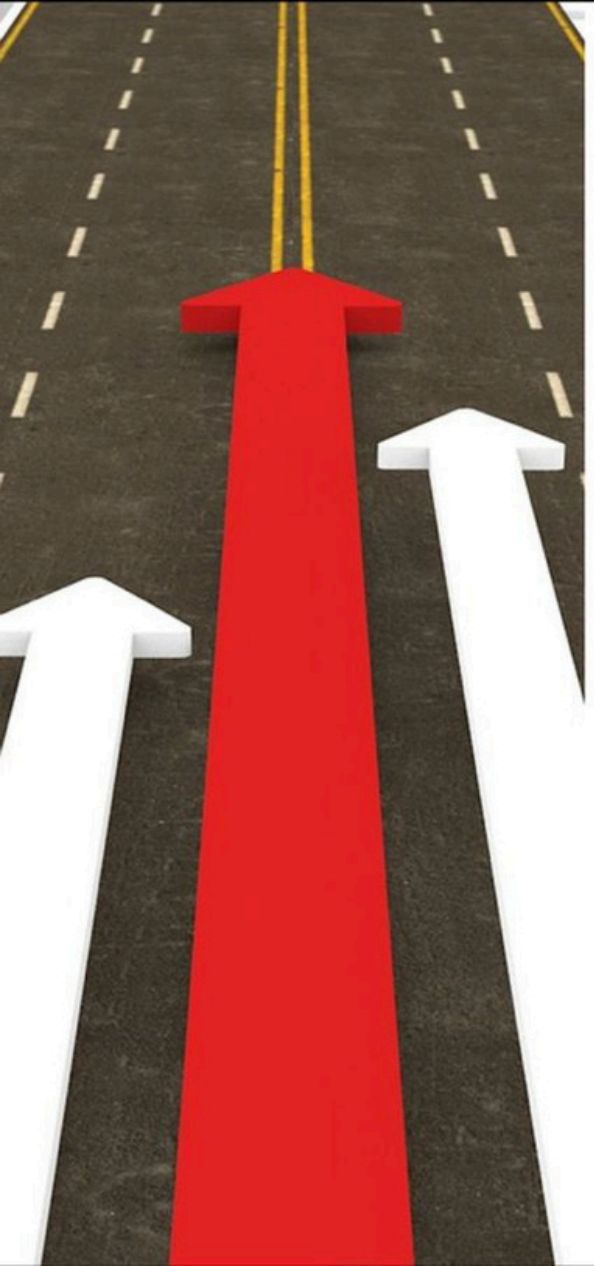

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Aligverse Nivesh: Designing Investor-Centric Risk-Profiled Stock Indices

Introduction to Aligverse Nivesh

Aligverse Nivesh is a project focused on redefining investor-centric index construction.

It is presented by a team from Aligarh Muslim University.

Team Members

The team consists of Alauddin Sk and Niloy Nath.

Their expertise contributes to the innovative approach of the project.

Institutional Affiliation

The team represents Aligarh Muslim University, a prestigious institution.

This affiliation adds credibility and academic rigor to their project.

Competition Participation

The project is part of Vittarth, a PAN India Finance Competition.

This platform showcases financial innovation and talent across the nation.

Visual Design Elements

The presentation emphasizes clean, modern fonts with financial tones like blue and green.

Incorporating the AMU crest and team logo enhances the visual identity.

Executive Summary

Traditional Market-Cap-Weighted Indices

- Market-cap-weighted indices treat all investors uniformly.
- They do not consider individual goals or risk profiles.
- This approach may not align with the diverse needs of investors.
- It represents a one-size-fits-all methodology.

Tailor-Made Indices by Aligverse Nivesh

- Aligverse Nivesh offers three indices: Conservative, Moderate, and Aggressive.
- These indices are designed based on real-world risk segmentation.
- They incorporate dynamic rebalancing and ESG integration.
- This approach prioritizes individual investor needs and preferences.

Understanding the Core Problem

Traditional Indices: A One-Size-Fits-All Approach

- Traditional indices such as SENSEX and NIFTY focus on market capitalization, liquidity, and sectoral representation.
- These indices overlook the diverse perspectives and needs of individual investors.
- For instance, a young entrepreneur and a retiree might have vastly different financial goals and risk tolerances.
- This lack of differentiation highlights the core problem of a one-size-fits-all approach in traditional market indices.

The Disconnect: Prioritizing Corporate Interests Over Investor Welfare

- Traditional indices often prioritize corporate interests, sidelining the welfare of individual investors.
- They fail to segment risks effectively, such as distinguishing between growth-oriented and stability-focused investments.
- Additionally, their static construction makes them unresponsive to dynamic market changes.
- This disconnect underscores the need for a more personalized and adaptive indexing approach.

Our Investor-Centric Solution

Conservative Index vs Aggressive Index

- The Conservative Index focuses on low-volatility, dividend-paying stocks such as FMCG, Utilities, and Healthcare.
- It incorporates ESG screening to ensure sustainable growth.
- In contrast, the Aggressive Index targets high-growth, high-beta stocks like those in Tech and Renewable Energy.
- Dynamic rebalancing is employed in the Aggressive Index to capture market momentum effectively.

Moderate Index vs Aggressive Index

- The Moderate Index provides balanced exposure to growth and stability, including sectors like IT, Financials, and Industrials.
- Risk-adjusted weighting is utilized to manage volatility within the Moderate Index.
- Conversely, the Aggressive Index emphasizes high-growth stocks with a focus on sectors such as Tech and Renewable Energy.
- It employs dynamic rebalancing strategies to adapt to market changes and optimize returns.

Stock Selection & Weighting Logic

Selection Criteria

- The selection criteria for stocks include a 5-year CAGR of at least 12%, ensuring consistent growth.
- An ESG score of 75 or higher is required, emphasizing sustainability.
- Stocks must exhibit high liquidity, as determined by daily trading volumes on NSE/BSE.
- These criteria ensure a robust and responsible stock selection process.

Weighting Logic

- The weighting logic varies based on investment strategy: Conservative, Moderate, and Aggressive.
- Conservative weighting is based on dividend yield, prioritizing income stability.
- Moderate weighting adjusts for volatility, using metrics like beta and standard deviation.
- Aggressive weighting focuses on growth momentum, targeting high-growth opportunities.

Innovation & Differentiation

Investor-Centric Design vs. Traditional Indices

- Investor-Centric Design focuses on tailoring indices to distinct risk profiles, ensuring alignment with individual investor needs.
- Traditional indices often follow a one-size-fits-all approach, lacking customization for specific investment goals.
- Dynamic rebalancing in investor-centric indices adapts to market conditions and investor needs in real-time.
- Traditional indices may not incorporate real-time adjustments, potentially missing opportunities for optimization.

ESG Integration vs. Conventional Financial Focus

- ESG Integration prioritizes sustainability alongside financial performance, addressing modern investor concerns.
- Conventional indices primarily focus on financial metrics, often overlooking environmental and social factors.
- Behavioral insights in ESG-focused indices incorporate sentiment analysis to align with investor psychology.
- Traditional indices may not consider behavioral factors, potentially misaligning with investor preferences.

Dynamic Rebalancing Framework

1

Understanding the Need for Dynamic Rebalancing

Traditional indices are static, changing composition infrequently.

Dynamic rebalancing ensures portfolios remain aligned with investor goals and market trends.

2

Key Features of Dynamic Rebalancing

Market Momentum Tracking adjusts weights based on growth trends.

Risk Mitigation reduces exposure to high-volatility stocks during downturns.

3

Implementation Through Quarterly Reviews

Quarterly reviews ensure timely updates to reflect market realities.

Dynamic rebalancing bridges the gap between static indices and evolving investor needs.

Sector Allocation Strategy

Conservative Index vs Aggressive Index

- The Conservative Index focuses on defensive sectors such as FMCG (30%), Utilities (25%), and Healthcare (20%).
- This strategy is designed to minimize risk and provide stable returns.
- In contrast, the Aggressive Index emphasizes growth-oriented sectors like Tech (40%), Renewable Energy (30%), and Emerging Markets (20%).
- This approach targets higher returns by accepting greater risk exposure.

Moderate Index: A Balanced Approach

- The Moderate Index provides a balanced exposure across various sectors.
- It allocates 25% to IT, 20% to Financials, 15% to Industrials, and 15% to FMCG.
- This strategy aims to achieve a middle ground between risk and return.
- It serves as a compromise between the Conservative and Aggressive indices.

Investor Empathy: Real-World Impact

Conservative vs. Aggressive Investment Strategies

- Conservative investors prioritize secure income through stable, dividend-paying stocks.
- Aggressive investors aim to maximize returns by capitalizing on high-growth opportunities.
- A 60-year-old retiree using the Conservative Index achieves consistent 6% annual returns with minimal volatility.
- A 25-year-old entrepreneur using the Aggressive Index sees 15% annualized returns, aligning with their risk appetite.

Traditional vs. Aligverse Nivesh Outcomes

- Traditional investment approaches may not fully align with individual investor psychology.
- Aligverse Nivesh indices are designed to resonate with investors' financial goals.
- A before-and-after graphic illustrates the improved outcomes with Aligverse Nivesh.
- By understanding investor psychology, we create indices that truly resonate with their financial goals.

Conclusion: Redefining Index Construction

Revolutionizing Index Construction

Our vision is to revolutionize index construction by prioritizing investor welfare over corporate interests.
This approach ensures that the needs of diverse investors are met effectively.

Tailored Investment Solutions

Aligverse Nivesh offers tailored solutions for Conservative, Moderate, and Aggressive profiles.
This customization addresses the unique requirements of each investor type.

Commitment to Sustainability

Dynamic rebalancing and ESG integration ensure relevance and sustainability.
These features build trust, confidence, and a better future for investors.